

China Metals and Mining

Year of the snake: What to look for post CNY holiday?

Equities Metals & Mining

China

- ◆ Rising trade tensions benefit the gold price; among gold names, we prefer Zhaojin given its potential volume growth
- ◆ More stimulus would benefit aluminium, copper, and lithium demand; aluminium has the tightest supply; prefer Hongqiao
- ◆ We like gold > aluminium > copper > lithium in the near term

Gold: Gold prices have recently soared to record highs with increasing central bank demand and rising trade tensions. We believe the near-term market environment will be positive for pure gold names like Zhaojin. The company's operation has been relatively unremarkable compared to that of its peers, with growth and profitability constrained by muted volume growth, but we think Zhaojin is different now. The outlook for Zhaojin's future operational performance looks promising driven by multiple new projects and a strategic alliance with Zijin (see [Zhaojin: Riding the gold rally with significant potential in volume growth](#), 10 February 2025).

Aluminium: In the near term, we expect (1) demand to recover amid low inventory levels, supporting the aluminium price; (2) the alumina price to continue to decline with more supply coming out of Asia; and (3) the bauxite market to stay tight, keeping prices elevated; this trend may persist through the year. Hence, we prefer fully integrated player like Hongqiao that could benefit from stronger aluminium prices and is immune from elevated bauxite prices. However, exceptionally strong alumina earnings in 2024 (c30% of profit) are not likely to repeat, offset growth from the aluminium segment. Hongqiao and Chalco have preannounced 4Q earnings, beating our estimates.

Copper: After the Chinese New Year (CNY) holiday, copper prices are range-bound on rising trade tensions, USD strength, and high LME and COMEX inventories. In the near term, we expect demand in China to recover with copper stocks moving back into China again. However, we expect mine supply growth to pick up throughout 2025 on the back of a pipeline of announced projects and ramp-ups (vs muted supply growth in 2024e), a headwind to the copper price. CMOC's volume growth is likely to be muted in 2025, and Jiangxi Copper should suffer from lower TC/RC. We expect volume growth and higher costs from Zijin-H/A and MMG but prefer Zijin-H/A given its exposure to gold. Zijin-H/A and CMOC-H/A have preannounced 4Q earnings, in line with our estimates.

Lithium: We expect lithium demand to decline in 1Q 2025 on seasonality and the impact of EV pre-sales in 4Q 2024, but it should recover in March amid ongoing EV subsidies and higher cathode materials production in preparation for the peak season in April-May. We expect stable lithium prices in 2025 as the current price is close to the cost of marginal producers. We expect Ganfeng and Tianqi to turn profitable in 2025, but we prefer Ganfeng as we expect the company's average costs to trend down gradually with more output from its self-owned upstream projects (C-O and Mali). Ganfeng and Tianqi have preannounced 4Q results, missing our estimates.

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This report must be read with the disclosures and the analyst certifications in the Disclosure appendix, and with the Disclaimer, which forms part of it.

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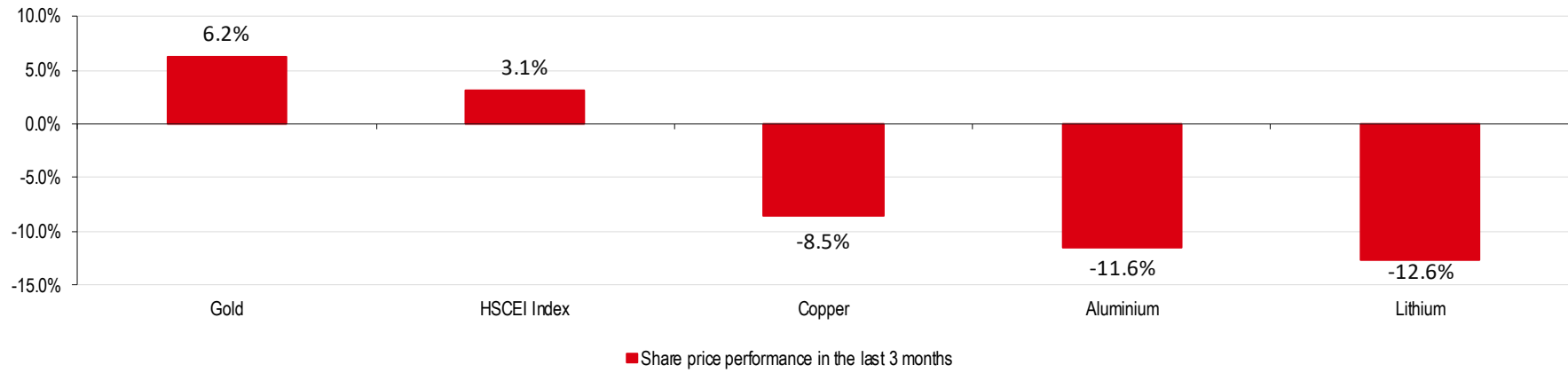
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Industry snapshots

	Positive share price catalysts	Negative share price catalysts	Preferred names
Gold	- Escalated trade tensions and geopolitical risk should increase safe-haven demand - Increasing gold purchases by central banks - Weaker USD - More-than-expected interest rate cuts	- Easing trade tensions and geopolitical risks - Stronger USD - Slower interest rate cuts and rising real yields	Zhaojin and Zijin-H/A
Aluminium	- Production reaching the 45mt capacity ceiling - Bauxite supply disruptions at Guinea - New environmental policy or carbon trading rule that lowers supply	- Lack of new stimulus policy and weaker-than-expected demand - Increasing aluminium supply from Russia - Higher tariffs on Chinese aluminium products	China Hongqiao
Copper	- New supply disruptions driven by power shortage, atypical weather or geopolitical risks, etc - More-than-expected demand driven by stimulus - Weaker USD - Delay of new project expansions	- Faster-than-expected new supply ramp-up - Lack of new stimulus policy and weaker-than-expected demand - Stronger USD	Zijin-H/A
Lithium	- More supply cuts from marginal players - Supply disruptions amid tightening environmental policy in Jiangxi - Delay of project construction due to technology bottlenecks and lower economic benefits - Demand rebound in the upcoming peak season	- Lack of new stimulus policy and weaker-than-expected demand - Faster-than-expected new supply ramp-up - New technology adoption lowers lithium intensity in batteries	Ganfeng-H/A

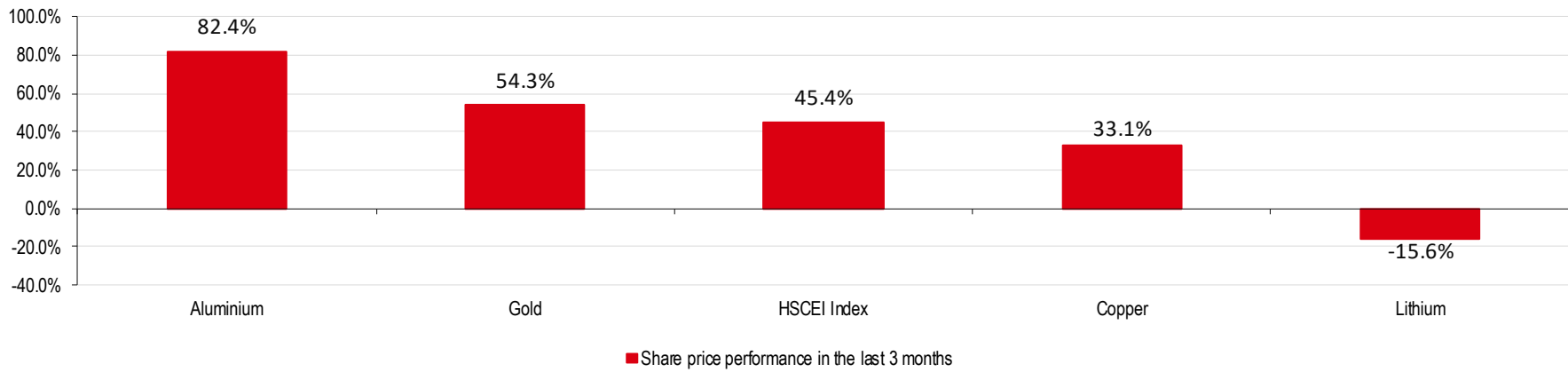
Source: HSBC

Sector share price performance over last three months



Source: Bloomberg, HSBC

Sector share price performance over last 12 months



Source: Bloomberg, HSBC

4Q 2024 results preview

Gold

Industry update: Gold prices saw a 35% y-o-y increase in 4Q 2024, surpassing the 28% y-o-y growth in 3Q 2024. On a q-o-q basis, gold prices were also up c8%. This surge was driven by a mix of economic, geopolitical, and market forces. One of the most significant catalysts has been rising trade tensions, particularly between the US and China. Another key factor is the increasing gold purchases by central banks, particularly in emerging markets.

Zhaojin Mining has not issued a profit alert. However, market consensus remains optimistic about its 2024 results, given the favorable gold price environment and production growth from Abuja, its newly acquired project. In 1H 2024, Zhaojin reported a 7% y-o-y increase in self-produced volume, and this upward trend is expected to have continued in 2H 2024. We forecast a 15% y-o-y rise in total gold production for 2024, driven by higher output from Abuja and stable operations at existing projects. In 4Q 2024, we anticipate earnings to grow both q-o-q and y-o-y, supported by rising gold prices and increased self-produced gold volume.

Aluminium

Industry update: In 4Q 2024, alumina prices surged 33% q-o-q and 77% y-o-y, primarily due to bauxite shortages. During the same time, aluminium prices also saw a 5% q-o-q and 8% y-o-y increase driven by stronger demand during the peak season and firm cost support from high alumina prices.

Hongqiao issued a 2024 profit alert, expecting earnings to rise 95% y-o-y to RMB22bn (vs RMB11.46bn in 2023). This implies a strong 4Q 2024 performance, driven by the sharp rise in alumina prices. We estimate the alumina segment contributed c30% of earnings in 2024 (vs 13-18% in 2021-23). However, this trend is unlikely to be repeated as alumina prices normalize.

Chalco has also issued a profit alert, expecting earnings to rise by 79-94% y-o-y to RMB12-13bn (vs RMB6.7bn in 2023). This implies 4Q 2024 earnings of RMB2.9-3.99bn (vs RMB1.4bn in 4Q 2023 and RMB2bn in 3Q 2024), driven by higher ASPs, increased aluminium sales during the peak season, and no significant asset impairments in 4Q 2024.

Copper

Industry update: Copper prices remained flat q-o-q in 4Q 2024. Since early October, prices have declined due to fading stimulus excitement, the stronger USD, and weaker-than-expected demand following the previous price rally. In late 2024, demand concerns, USD strength, and trade policy uncertainty kept prices fluctuating at cUSD9,000/t. However, 4Q 2024 copper prices rose c11% y-o-y due to a lower base.

Zijin expects 2024 earnings to rise c52% y-o-y to cRMB32bn (vs RMB21bn in 2023), implying 4Q 2024 net profit of cRMB7.6bn (vs RMB9.3bn in 3Q 2024 and RMB5.0bn in 4Q 2023). The earnings growth is driven by higher commodity prices and copper output growth led by Julong, Kamao, and the Serbian mines. However, q-o-q declined due to a fall in fair value gains and asset impairments of cRMB2bn.

CMOC expects 2024 earnings to rise c55-72% y-o-y to RMB12.8-14.2bn (vs RMB8.25bn in 2023), implying 4Q 2024 earnings of RMB4.5-5.9bn (vs RMB2.9bn in 3Q 2024 and RMB5.8bn in 4Q 2023). Key drivers include robust copper and cobalt output from the TFM and KFM

expansions and higher copper prices y-o-y. While the company expects 4Q 2024 earnings to increase q-o-q, the change may be lower than 4Q 2023 due to the high base.

MMG delivered strong 4Q 2024 production with copper output up c11% q-o-q and c39% y-o-y, driven by stable Las Bambas' operations and the Chalcobamba expansion. Zinc production rose c42% q-o-q, supported by higher ore grades and smoother operations at Dugald River. However, despite strong production, earnings may face headwinds due to rising unit costs.

Jiangxi Copper has not issued a profit alert, but we are cautious about its full-year 2024 earnings given the disappointing 3Q 2024 result. However, we expect a q-o-q earnings improvement as higher selling expenses and tax burdens in 3Q 2024 should normalize in 4Q 2024. On a y-o-y basis, 4Q earnings may decline driven by lower trading revenue as Jiangxi Copper scales down low-value-added segment with low processing fees.

Lithium

Industry update: In 4Q 2024, lithium prices remained weak, declining c46% y-o-y and c5% q-o-q. After steady declines in August and early September, prices stabilized in late October and increased a bit in November, as automakers ramped up year-end production. However, the slight rebound was mainly sentiment-driven rather than a supply-demand recovery. By mid-December, weaker demand and rising supply pushed lithium prices lower again.

Ganfeng expects its first annual loss of cRMB1,400-2,100m in 2024, implying a 4Q 2024 loss of RMB760-1,460m. Despite turning profitable in 3Q 2024, fair value losses and additional inventory impairments drove larger 4Q losses. Revenue fell y-o-y due to weak lithium prices, despite higher sales volumes. A RMB1.64bn fair value loss was recorded due to a sharp decline in Pilbara Minerals Limited's share price.

Tianqi expects a full-year loss of RMB7,100-8,200m, implying a 4Q 2024 loss of RMB1,400-2,500m (vs -RMB801m in 4Q 2023 and -RMB496m in 3Q 2024). Losses stem from inventory impairments on high-cost stockpiles, steep margin declines due to weak lithium prices, investment loss from SQM due to tax issues, and the termination of Kwinana Phase II.

Appendix

Gold: HSBC supply and demand model (tonnes)

	2019	2020	2021	2022	2023	2024	2025e	2026e	CAGR 2020-24	CAGR 2025-26e*
Supply										
Mine production	3,596	3,482	3,589	3,649	3,644	3,740	3,820	3,845	0.8%	1.4%
Old gold scrap	1,276	1,293	1,136	1,141	1,239	1,360	1,375	1,305	1.3%	-2.0%
Producer hedging	6	-39	-7	-11	67	10	40	50		
Total supply	4,878	4,736	4,718	4,779	4,950	5,110	5,235	5,200	0.9%	0.9%
Demand										
Jewellery	2,127	1,398	2,148	2,089	2,112	1,858	1,925	1,975	-2.7%	3.1%
Electronics	262	250	272	252	249	267	270	252	0.4%	-2.8%
Dentistry	14	12	11	10	9	9	9	9		
Other industrial uses	50	42	47	47	47	47	48	46		
Other fabrication	326	304	330	309	305	323	327	307		
Total fabrications	2,453	1,702	2,478	2,398	2,417	2,181	2,252	2,282	-2.3%	2.3%
Bar hoarding	584	543	813	804	782	823	745	700	7.1%	-7.8%
Official coins	221	293	295	334	294	183	205	215	-3.7%	8.4%
Medals	67	69	85	99	115	117	75	65		
Exchange-traded funds	326	877	-286	-124	-258	-86	50	50		
Total investment demand	1,198	1,782	907	1,113	933	1,032	1,075	1,030	-2.9%	-0.1%
Official sector net purchases	605	255	450	1,082	1,049	870	790	750		
Total demand	4,256	3,739	3,835	4,593	4,399	4,088	4,117	4,062	-0.8%	-0.3%
Balance = net investment	622	997	883	189	551	1,022	1,118	1,138		
Gold price (USD/oz)	1,268	1,393	1,799	1,802	1,941	2,390	2,687	2,615		

*CAGR 2025-26e represents change from 2025e start until 2026e end.

Source: Metals Focus, World Gold Council, HSBC estimates. From [Metals Quarterly Q1 2025: Old wine in new bottle?](#) (20 January 2025).

Aluminium: HSBC supply and demand model (kt)

Primary aluminium	2020	2021	2022	2023	2024e	2025e	2026e	2027e	2028e	2029e	Change 2025-29e*	CAGR 2025-29e*
World												
Capacity	79,483	80,432	80,537	80,931	81,126	82,299	82,417	82,920	82,920	82,920	1,794	0.4%
y-o-y change	1.6%	1.2%	0.1%	0.5%	0.2%	1.4%	0.1%	0.6%	0.0%	0.0%		
Production	65,057	67,474	68,653	70,594	73,144	74,358	75,398	76,074	76,666	77,283	4,139	1.1%
y-o-y change	2.4%	3.7%	1.7%	2.8%	3.6%	1.7%	1.4%	0.9%	0.8%	0.8%		
Consumption	63,823	68,687	69,319	70,410	72,482	73,761	75,131	76,006	76,884	77,699	5,217	1.4%
y-o-y change	-2.8%	7.6%	0.9%	1.6%	2.9%	1.8%	1.9%	1.2%	1.2%	1.1%		
Capacity utilisation	82%	84%	85%	87%	90%	90%	91%	92%	92%	93%		
World balance	1,235	(1,213)	(666)	185	662	597	267	68	(217)	(417)		
China												
Capacity	45,298	45,298	45,298	45,298	45,298	45,298	45,298	45,298	45,298	45,298	0	0.0%
y-o-y change	2.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%		
Production	37,038	38,511	40,128	41,707	43,626	44,193	44,635	44,635	44,635	44,635	1,009	0.5%
y-o-y change	4.3%	4.0%	4.2%	3.9%	4.6%	1.3%	1.0%	0.0%	0.0%	0.0%		
Consumption	37,460	39,397	39,739	41,419	43,229	43,934	44,522	44,604	44,672	44,663	1,434	0.7%
y-o-y change	2.2%	5.2%	0.9%	4.2%	4.4%	1.6%	1.3%	0.2%	0.2%	0.0%		
Capacity utilisation	82%	85%	89%	92%	96%	98%	99%	99%	99%	99%		
China balance	(422)	(886)	390	288	397	260	113	31	(37)	(28)		
World ex China												
Capacity	34,185	35,133	35,239	35,633	35,828	37,001	37,119	37,622	37,622	37,622	1,794	1.0%
y-o-y change	1.1%	2.8%	0.3%	1.1%	0.5%	3.3%	0.3%	1.4%	0.0%	0.0%		
Production	28,019	28,962	28,525	28,887	29,518	30,165	30,763	31,439	32,031	32,648	3,130	2.0%
y-o-y change	0.1%	3.4%	-1.5%	1.3%	2.2%	2.2%	2.0%	2.2%	1.9%	1.9%		
Consumption	26,362	29,290	29,580	28,990	29,253	29,828	30,610	31,402	32,211	33,037	3,784	2.5%
y-o-y change	-9.1%	11.1%	1.0%	-2.0%	0.9%	2.0%	2.6%	2.6%	2.6%	2.6%		
Capacity utilisation	82%	82%	81%	81%	82%	82%	83%	84%	85%	87%		
World ex China balance	1,657	(328)	(1,055)	(103)	265	337	154	37	(180)	(389)		
Aluminium (primary + secondary)												
Primary aluminium production	65,057	67,474	68,653	70,594	73,144	74,358	75,398	76,074	76,666	77,283	4,139	1.1%
y-o-y change		3.7%	1.7%	2.8%	3.6%	1.7%	1.4%	0.9%	0.8%	0.8%		
Secondary aluminium production	20,208	22,133	22,884	23,909	25,168	26,535	27,887	29,292	30,709	32,183	7,015	5.0%
y-o-y change		9.5%	3.4%	4.5%	5.3%	5.4%	5.1%	5.0%	4.8%	4.8%		
World aluminium production	85,265	89,607	91,538	94,504	98,312	100,893	103,286	105,366	107,375	109,465	11,154	2.2%
y-o-y change		5.1%	2.2%	3.2%	4.0%	2.6%	2.4%	2.0%	1.9%	1.9%	4,139	1.1%
World aluminium consumption	85,540	89,000	90,780	93,503	97,431	100,353	102,862	104,920	107,018	109,158	11,728	2.3%
y-o-y growth %		4.0%	2.0%	3.0%	4.2%	3.0%	2.5%	2.0%	2.0%	2.0%		
Surplus/deficit	-275	607	758	1,000	881	539	423	446	358	307		
Prices												
LME aluminium price, USD/t	1,704	2,473	2,707	2,255	2,421	2,550	2,600	2,600	2,650	2,650		
LME aluminium price, USD/lb	0.77	1.12	1.23	1.02	1.10	1.16	1.18	1.18	1.20	1.20		
y-o-y	-5.0%	45.1%	9.5%	-16.7%	7.4%	5.3%	2.0%	0.0%	1.9%	0.0%		
SHFE aluminium price, RMB/t	14,092	18,890	19,981	18,727	19,908	20,704	20,903	20,903	21,008	21,008		
y-o-y	1.3%	34.0%	5.8%	-6.3%	6.3%	4.0%	1.0%	0.0%	0.5%	0.0%		

*Represents change from 2025e start until 2029e end.

Source: Wood Mackenzie, International Aluminium Institute, HSBC estimates. From [Metals Quarterly Q1 2025: Old wine in new bottle?](#) (20 January 2025).

Copper: HSBC global supply and demand model (000 tonnes)

	2020	2021	2022	2023	2024e	2025e	2026e	2027e	2028e	2029e	Change 2025-29e*	CAGR 2025-29e*
Supply												
Committed concentrate	17,365	17,997	18,481	18,705	19,173	20,944	21,620	21,773	21,715	21,252	2,079	2.1%
Committed SXEW	3,549	3,431	3,614	3,594	3,557	3,605	3,812	3,679	3,813	3,753		
Total committed	20,914	21,428	22,095	22,299	22,730	24,550	25,432	25,452	25,527	25,005		
New conc projects & restarts (uncommitted)	-	-	-	-	-	18	92	227	571	943		
Disruption allowance					-173	-1,048	-1,086	-1,100	-1,114	-1,110		
Concentrate supply	17,365	17,997	18,481	18,705	19,000	19,914	20,626	20,900	21,172	21,085	2,085	2.1%
New SXEW projects & restarts (uncommitted)	-	-	-	-	-	4	9	38	57	65		
Disruption allowance					-32	-180	-191	-186	-193	-191		
SXEW supply	3,549	3,431	3,614	3,594	3,525	3,429	3,630	3,531	3,676	3,627	102	0.6%
Total mined copper	20,914	21,428	22,095	22,299	22,525	23,343	24,256	24,431	24,847	24,712	2,187	1.9%
<i>y-o-y change</i>	<i>0.4%</i>	<i>2.5%</i>	<i>3.1%</i>	<i>0.9%</i>	<i>1.0%</i>	<i>3.6%</i>	<i>3.9%</i>	<i>0.7%</i>	<i>1.7%</i>	<i>-0.5%</i>		
Refined copper supply												
Smelting capacity	25,011	25,631	26,090	27,188	28,083	30,573	31,811	32,348	32,743	32,743		
Smelter production forecast	20,229	21,008	21,356	21,917	22,389	23,242	24,047	24,485	24,857	24,859	2,470	2.1%
<i>y-o-y change</i>	<i>2.3%</i>	<i>3.8%</i>	<i>1.7%</i>	<i>2.6%</i>	<i>2.2%</i>	<i>3.8%</i>	<i>3.5%</i>	<i>1.8%</i>	<i>1.5%</i>	<i>0.0%</i>		
Refining losses	-733	-680	-792	-897	-828	-860	-890	-906	-920	-920		
Scrap to refining	1,011	1,210	1,030	1,213	1,375	1,410	1,446	1,507	1,546	1,607		
non SXEW refined copper production	20,507	21,537	21,595	22,233	22,936	23,792	24,603	25,086	25,483	25,546		
Total refined copper production	24,056	24,969	25,208	25,827	26,461	27,220	28,233	28,617	29,159	29,173	2,712	2.0%
<i>y-o-y change</i>	<i>1.8%</i>	<i>3.8%</i>	<i>1.0%</i>	<i>2.5%</i>	<i>2.5%</i>	<i>2.9%</i>	<i>3.7%</i>	<i>1.4%</i>	<i>1.9%</i>	<i>0.0%</i>		
Demand, market balance and prices												
Refined consumption	24,008	24,946	25,210	25,895	26,448	27,116	27,808	28,433	29,169	29,759	3,310	2.4%
<i>y-o-y change</i>	<i>0.6%</i>	<i>3.9%</i>	<i>1.1%</i>	<i>2.7%</i>	<i>2.1%</i>	<i>2.5%</i>	<i>2.6%</i>	<i>2.3%</i>	<i>2.6%</i>	<i>2.0%</i>		
Refined metal balance	47	23	-1	-68	12	104	425	184	-10	-585		
Total stocks	4,283	4,305	4,304	4,236	4,249	4,353	4,778	4,962	4,952	4,366		
Total stocks (days of consumption)	65	63	62	60	59	59	63	64	62	54		
LME cash price (USD/t)	6,179	9,313	8,832	8,486	9,146	8,984	8,929	8,984	9,039	9,087		
LME cash price (US\$/lb)	280	422	401	385	415	408	405	408	410	412		
Refined consumption by region												
China	13,350	13,504	13,646	14,634	15,002	15,335	15,489	15,711	15,978	16,181	1,179	1.5%
<i>y-o-y</i>	<i>7.5%</i>	<i>1.2%</i>	<i>1.1%</i>	<i>7.2%</i>	<i>2.5%</i>	<i>2.2%</i>	<i>1.0%</i>	<i>1.4%</i>	<i>1.7%</i>	<i>1.3%</i>		
World (ex-China)	10,659	11,442	11,563	11,260	11,447	11,781	12,319	12,722	13,190	13,578	2,131	3.5%
<i>y-o-y</i>	<i>-6.9%</i>	<i>7.3%</i>	<i>1.1%</i>	<i>-2.6%</i>	<i>1.7%</i>	<i>2.9%</i>	<i>4.6%</i>	<i>3.3%</i>	<i>3.7%</i>	<i>2.9%</i>		

*Represents change from 2025e start until 2029e end.

Source: Wood Mackenzie, HSBC estimates. From [Metals Quarterly Q1 2025: Old wine in new bottle?](#) (20 January 2025).

Lithium: HSBC supply demand model summary (LCE kt)

Lithium demand	2020	2021	2022	2023	2024e	2025e	2026e	2027e
Battery	256	411	667	812	1103	1249	1456	1754
- EVs	163	277	487	597	845	946	1108	1370
- Energy storage	9	33	56	70	91	109	120	126
- Other batteries	70	76	83	90	100	111	124	136
- Electrolytes	14	26	41	56	67	83	104	123
Non-battery demand	127	132	134	137	139	141	144	146
- Glass and ceramics	55	58	59	60	61	63	64	65
- Greases/lubricants	21	22	22	22	22	22	22	22
- Metal alloys	17	17	18	18	18	19	19	19
- Air conditioning	11	11	12	12	12	12	13	13
- Polymers	9	9	9	10	10	10	10	10
- Medicine	9	10	10	10	10	10	11	11
- Others	5	5	5	5	5	5	5	5
Total demand	383	543	801	949	1,242	1,391	1,599	1,901
y-o-y	43.9%	42.0%	47.5%	18.4%	30.8%	12.0%	15.0%	18.8%
Supply/demand dynamics	2020	2021	2022	2023	2024e	2025e	2026e	2027e
Supply	470	568	773	1,029	1,423	1,589	1,735	1,990
Demand after inventory changes	383	504	919	912	1,239	1,407	1,623	1,934
Surplus/(deficit)	87	64	-146	117	184	181	112	55
as a % of consumption	23%	13%	-16%	13%	15%	13%	7%	3%
Price forecasts	2020	2021	2022	2023	2024	2025e	2026e	2027e
China BG lithium carbonate 99.5% (USD/kg)	6.4	18.7	71.1	35.9	12.6	12.4	15.5	18.3
Asia lithium carbonate 99.5%(USD/kg)	8.4	13.3	49.9	46.8	12.6	12.8	15.5	18.3
Ex-China lithium hydroxide (USD/kg)	10.4	14.5	51.9	49.3	13.0	13.7	17.5	20.3
Australia spodumene 6.0% (USD/dmt)	429	946	4183	3809	971	851	1008	1,190
Spodumene/China LCE	4.9%	7.1%	8.4%	8.1%	7.7%	6.7%	6.5%	6.5%

Source: HSBC Research estimates, USGS, Wood Mackenzie. From [Metals Quarterly Q1 2025: Old wine in new bottle?](#) (20 January 2025).

Valuation and risks

	Valuation	Risks
Zhaojin Mining 1818 HK Buy	Current price: HKD14.04 Target price: HKD17.40 Up/downside: +23.9% We maintain our Buy rating for Zhaojin with a target price of HKD17.40, derived by applying a target forward PE multiple of 20.00x to our 2026e EPS estimate of RMB0.82, with an end-2025e HKD-RMB exchange rate of 1.05, as per HSBC Global Research's FX research team. Our target PE multiple is consistent with Zhaojin's historical average PE multiple since listing. Our target price implies c24% upside from the current share price. We use a PE multiple methodology instead of a PB multiple because of Zhaojin's strong earnings growth potential as Haiyu Gold Mine is expected to be commissioned in the near term. Our target PE multiple is above where its domestic and international peers currently are trading as we believe Zhaojin deserves a valuation premium due to its growth potential.	Downside risks: 1) Delay with the commission of Haiyu; 2) increased capex on M&A, leading to higher interest expenses; 3) earnings fluctuation due to gold price; 4) geopolitical risk of overseas mines; and 5) supply disruption.
Chalco H/A 2600 HK/ 601600 CH H: Buy A: Buy	Current price: H: HKD4.98 A: RMB7.65 Target price: H: HKD6.40 A: RMB10.00 Up/downside: H: +28.5% A: +30.7% We maintain our Buy ratings on both Chalco H- and A-shares and keep our target prices unchanged at HKD6.40 and RMB10.00, respectively. For our H-share target price, we use a target PE multiple of 8.5x (unchanged), the historical average since 2018, applied to our 2025 EPS estimate of RMB0.69 (unchanged), using an RMB-HKD FX rate forecast of 1.08 (unchanged). For our A-share target price, we use a target PE multiple of 14.5x (unchanged), the historical average since 2018, applied to our 2025 EPS estimate of RMB0.69 (unchanged). Our H- and A-share target prices imply upside of c29% and c31%, respectively. We maintain our Buy rating given the solid fundamentals and optimistic margin outlook we see. The coal-related business contributed c4% to Chalco's total revenue in 2023, which includes the selling of coal and coal-fired power. The coal assets were intended for energy security and to provide power for its own aluminium smelting business; only production that exceeded its needs were sold externally. We do not expect Chalco to increase its investment in the coal-related business as the company is: 1) actively investing in renewables energy infrastructure, adding over 500MW renewable energy capacity in 2023; 2) promoting green aluminium smelting capacity, which accounts for c45% of its total capacity now; and 3) reducing the coal consumption intensity of its thermal power plants through optimisation and energy efficiency improvement.	Downside risks for both H/A shares: 1) Lower-than-expected demand from property completions; 2) new resources and environmental regulations adopted by the mining industry that could lead to higher production costs; 3) higher-than-expected R&D expense and impairment loss; 4) bauxite supply disruption; and 5) geopolitical risks when acquiring overseas resources.
China Hongqiao 1378 HK Buy	Current price: HKD12.98 Target price: HKD16.00 Up/downside: +23.3% We value Hongqiao using a target PE multiple-based valuation methodology. Our target price for Hongqiao is HKD16.00 (unchanged). We derive our target price by using a forward PE multiple of 7.5x (unchanged) and apply it to our 2025 EPS estimate of RMB1.97 (unchanged) based on an exchange rate of HKD/RMB of 1.08 (unchanged). Our target PE multiple is 1SD above the historical average since 2018. Our target price implies c23% upside. We maintain our Buy rating given the solid fundamentals, optimistic margin outlook, and attractive dividend yield of c11%, and we believe that Hongqiao can benefit more from the recent alumina price rally.	Downside risks: 1) Lower-than-expected demand from property completions and renewables; 2) new resources and environmental regulations adopted by the mining industry that could lead to higher production costs; 3) lower-than-expected pay-out ratio; and 4) bauxite supply disruption.

Priced at close of 6 Feb 2025
Source: HSBC estimates

Valuation and risks (cont'd)

	Valuation	Risks
Zijin Mining H/A 2899HK/ 601899CH H: Buy A: Buy	Current price: H: HKD15.62 A: RMB16.31 Target price: H: HKD21.50 A: RMB21.90 Up/downside: H: +37.6% A: +34.3%	We maintain our Buy ratings on both Zijin's H- and A-shares. For our H-share TP, we use a target PE multiple of 13.5x (unchanged), which is applied to our 2025e EPS estimate of RMB1.47 (unchanged) based on an HKD-RMB exchange rate of 1.08 (unchanged). Our target PE multiple is consistent with the historical average PE multiple since 2016, reflecting Zijin's stable output growth. For our A-share target price, we use an A-H share premium of 10% and a target PE multiple of 13.5x (the same as the H-share). Our H- and A-share TPs imply c38% and c34% upside from the current share price, respectively. We, therefore, maintain our Buy ratings. We like the stable earnings growth (2023-26e CAGR c25%) driven by a diversified portfolio of projects and continuous acquisitions that help long-term resources and production growth. Also, a higher gold price is favourable to Zijin's earnings. Downside risks for both H/A-shares: 1) Delays in construction of new capacity; 2) lower metal prices; 3) geopolitical conflicts in overseas mines; 4) overambitious M&A transactions may burden financials and pull up production cost; and 5) higher production costs due to inflation, declining ore grading, and stricter emission standards for mining.
CMOC-H/A 3993HK/ 603993CH H: Buy A: Buy	Current price: H: HKD5.92 A: RMB7.23 Target price: H: HKD8.80 A: RMB9.80 Up/downside: H: +48.6% A: +35.5%	We maintain our Buy ratings on both CMOC's H- and A-shares with unchanged TPs of HKD8.80 and RMB9.80, respectively. For our H-share target price, we use a target PE multiple of 12x (unchanged) applied to our 2025e EPS of HKD0.74 (unchanged) based on an HKD-RMB exchange rate of 1.08 (unchanged). Despite significant output growth for CMOC in 2024e and 2025e, our target PE multiple is a 12.5% discount to what we use to value Zijin, given that Zijin's asset portfolio is more diversified than CMOC's asset portfolio, with a consistent earnings growth track record. For our A-share target price, we use an A-H share premium of 20% and a target PE multiple of 12x (the same as what we use for the H-share). Our H- and A-share target prices imply c49% and c36% upside from the current share price, respectively. We therefore maintain our Buy ratings on the H- and A-shares. We expect above-peer group copper sales volume and earnings growth. Downside risks for both H/A-shares: 1) Increases in new copper mine supply and copper scrap that more than offset copper demand growth and, in turn, put pressure on copper prices; 2) political risk in the Democratic Republic of the Congo; and 3) technology developments that could reduce cobalt usage in electric batteries.
MMG Limited 1208 HK Hold	Current price: HKD2.63 Target price: HKD2.80 Up/downside: +6.5%	We maintain our Hold rating on MMG with an unchanged TP of HKD2.80. We derive our target price using a target 2025e PE multiple of 8.5x (unchanged), applied to our 2025 EPS estimate of HKD0.33 (unchanged), after applying a USD-HKD exchange rate of 7.80 (unchanged). Our target PE multiple is consistent with the historical average PE multiple since 2016. Our target price implies 6.5% upside from the current share price, and we maintain our Hold rating, reflecting the rising unit cost of production. Upside risks: 1) Faster-than-expected production growth from Chalcobamba, Kinsevere, and Khoemacau; 2) higher-than-expected copper prices, driven by stronger demand from mainland China and the rest of the world; and 3) new forms of supply disruptions. Downside risks: 1) Increases in new copper mine supply and copper scrap that more than offset copper demand growth and, in turn, put pressure on copper prices; 2) production or ramp-up delays in Chalcobamba and Kinsevere expansion projects; and 3) sales disruption due to community tensions in Peru, and potential escalation and expansion of unrest to other regions.

Priced at close of 6 Feb 2025
Source: HSBC estimates

Valuation and risks (cont'd)

	Valuation	Risks
Jiangxi Copper H/A 358 HK/ 600362 CH H: Hold A: Hold	Current price: H: HKD12.70 A: RMB21.30 Target price: H: HKD14.80 A: RMB24.50 Up/downside: H: +16.5% A: +15.0%	Upside risks for both H/A-shares: 1) Higher-than-expected copper prices, driven by stronger demand from mainland China and the rest of the world, as well as new supply disruptions; and 2) higher-than-expected gold prices, driven by a softer USD and geopolitical risks. Downside risks for both H/A-shares: 1) Lower-than-expected TC/RC charges due to tighter-than-expected supply conditions; and 2) an increase in new copper mine supply and copper scrap more than offsetting copper demand growth and, in turn, putting more pressure on copper prices.
Ganfeng Lithium 1772 HK/ 002460 CH H: Buy A: Buy	Current price: H: HKD20.40 A: RMB34.66 Target price: H: HKD31.00 A: RMB43.00 Up/downside: H: +52.0% A: +24.1%	Downside risks for both H/A-shares: 1) Longer-than-expected ramp-up time of its upstream projects, lithium chemical plants and battery plants; 2) trade tension between China and Australia could impact spodumene imports; 3) lower-than-expected demand growth from EV and ESS; and 4) lower-than-expected investment income amid lower lithium price.
Tianqi Lithium 9696 HK/ 002466 CH H: Buy A: Buy	Current price: HKD23.05 RMB31.53 Target price: HKD34.00 RMB46.00 Up/downside: H: +47.5% A: +45.9%	Downside risks for both H/A-shares: 1) Trade tensions between China and Australia could impact self-produced spodumene imports; 2) delays in lithium compound capacity expansion; 3) lower-than-expected demand growth from EV and ESS; and 4) potential impairment loss from investment on SQM.

Priced at close of 6 Feb 2025
Source: HSBC estimates

Disclosure appendix

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Disclosure checklist

Company	Ticker	Recent price	Price date	Disclosure
ALUMINUM CORP OF CHINA A	601600.SS	7.82	07 Feb 2025	4
ALUMINUM CORP OF CHINA H	2600.HK	5.04	07 Feb 2025	4
CHINA HONGQIAO	1378.HK	13.24	07 Feb 2025	4, 11
CMOC GROUP LIMITED	3993.HK	5.98	07 Feb 2025	4, 7, 11
CMOC GROUP LIMITED A	603993.SS	7.29	07 Feb 2025	4, 7, 11
GANFENG LITHIUM	1772.HK	20.80	07 Feb 2025	7, 11
GANFENG LITHIUM A	002460.SZ	35.10	07 Feb 2025	7, 11
JIANGXI COPPER	0358.HK	12.78	07 Feb 2025	4, 11
JIANGXI COPPER A	600362.SS	21.68	07 Feb 2025	4, 11
MMG LIMITED	1208.HK	2.69	07 Feb 2025	7
TIANQI LITHIUM	9696.HK	23.45	07 Feb 2025	4, 7, 11
TIANQI LITHIUM A	002466.SZ	32.10	07 Feb 2025	4, 7, 11
ZHAOJIN MINING	1818.HK	13.98	07 Feb 2025	2, 7, 11
ZIJIN MINING	2899.HK	15.72	07 Feb 2025	4, 11
ZIJIN MINING A	601899.SS	16.62	07 Feb 2025	4, 11

Source: HSBC

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